

Outlook

From	johan.vanwyk@credit.risk.retail.keystonebank.co.za
To	analytics.retail@keystonebank.co.za
Cc	model.risk@keystonebank.co.za, loan.products@keystonebank.co.za
Sent	Fri, 16 Jun 2023 08:34:00 -0000

What happens just inside the affordability cut-off? - 2023 control review

Hi,

This came up in a working session and nobody had the same definition.

Credit Risk wants to study borrowers approved close to affordability limits rather than compare only approvals and declines.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: thin discretionary income predicts later stress; product and term explain the outcome; or verified expenses or income quality create the main uncertainty.

The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure. This has returned because the previous answer was useful but not strong enough to become a standing rule. Use June 2023 as the new evidence point rather than recycling the earlier conclusion.

What we need to decide is whether policy buffers, verification or monitoring should change. Please bring a short decision pack with no more than five slides and an attached evidence table, including a few cases we can trace from source to conclusion.

The available evidence is the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. The analysis can observe recorded affordability inputs, not every household obligation or later income shock.

Thank you